

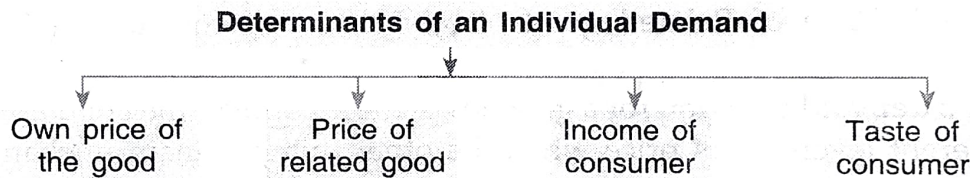
Ans. Meaning of Demand. Demand for a commodity refers to the *quantity of a commodity which a consumer is willing to buy at different prices in a given period of time*. Thus demand involves three essential elements namely : (i) *price of the commodity*; (ii) *quantity of the commodity*; and (iii) *the period of time*. It needs to be noted that demand is not only with reference to the price of the commodity but also to the period of time. Thus demand for a commodity is always expressed in relation to a particular price and at a particular time. For instance, statement like a household's demand for milk is 2 litres @ ₹ 20 per litre, is not correct and complete. The meaningful statement would be that @ ₹ 20 per litre a household's demand for milk is 2 litres *today*, because it contains all the three essential elements of demand.

Demand can be at two levels—individual demand and market demand.

Q. 2.9. • Explain the factors which determine individual demand for a commodity.

• State any two factors that affect a household's demand of a commodity.

Ans. Following are the main factors (determinants) which influence/determine demand for a commodity of the individual consumer (household).



(i) **Price of commodity itself.** It is generally observed when price of the commodity falls, its demand rises and when price rises, its demand falls, other things being equal. Thus there is an *inverse relationship* between the price and the demand for commodity. It is discussed in detail in next question titled 'law of demand'.

(ii) **Price of related goods.** Goods are said to be related when price of one good (say, x) causes change in demand for other good (say, y). A consumer's demand for a particular good (say coffee) depends upon the price of its related good (say, tea). Related goods are of two types—substitute goods and complementary goods.

(a) **Substitute goods.** Substitute goods are a pair of goods which can be used (substituted) in place of each other to satisfy a given want. For example coffee, is substitute of tea. If price of coffee rises, demand for its substitute tea will rise because consumers will substitute tea for coffee. Thus *demand for a good (here tea) rises with a rise in price of its substitute good (here coffee), i.e., there is direct relationship.*

(b) **Complementary goods.** These are a pair of goods which are used jointly to satisfy a given want. For example car and petrol. If price of complementary good petrol rises, demand for car will fall. Thus *in case of complementary goods, if price of one good falls, demand for the other good rises, i.e., there is Inverse Relationship.*

(iii) **Income of the consumer.** Higher the income, larger will be the demand generally. The effect of change in income on demand depends upon the nature of the good whether the good is normal or inferior. A good whose demand rises with rise in income is called a

normal good whereas a good whose demand falls with rise in income is called an inferior good. If income of a consumer goes up, demand for a normal good (like full cream milk, wheat, fine cloth) will rise but for an inferior good (like toned milk, jowar, coarse cloth) will fall. On the contrary with a fall in income, demand for a normal good will fall but for an inferior good will rise.

(iv) **Taste and preference of consumer.** A favourable change in taste for a good (say, salty eatable) increases its demand whereas an unfavourable change in taste (say, for sweets) decreases its demand at the same price. Similarly, a change in preference also affects demand. For instance a student may demand more of books and pens than utensils.

Q. 2.10. What is demand function? State a consumer's demand function.

Ans. Demand Function. It explains *the relationship between the demand for a commodity and the factors determining demand*. In a way it gives functional relationship (i.e., cause and effect relationship) between demand and its determinants. The above analysis is presented as demand function in the form of the following equation.

$$D_x = f(P_x, P_R, Y, T)$$

The equation shows that demand for commodity x (D_x) is the function (f) of Price of commodity x (P_x); Price of Related goods (P_R); Income of consumer (Y) and Tastes of consumer (T).

A consumer's demand function for a good gives the amount of the good that the consumer chooses at different levels of its price when the other things remain unchanged.

Let us first discuss the relationship between the price and demand which is expressed in the form of 'law of demand' and take up the relationship with other determinants afterwards.

Q. 2.11. • Explain law of demand with the help of a demand schedule.

- Explain law of demand and the reasons behind it. Use diagram.
- Define demand schedule.

Ans. (a) Statement of law of demand. The Law of Demand states "*other things remaining unchanged, quantity demanded of a commodity is inversely related to the price of commodity.*" In other words, demand for a commodity rises when price falls and its demand falls when price rises provided other factors remain unchanged. Thus there is an inverse relationship between price and demand. For instance, an individual may demand one dozen of bananas at ₹ 15 per dozen; he may, however, demand two dozens if the price falls to ₹ 10 per dozen. The law can be illustrated further with the help of hypothetical Demand Schedule and Demand Curve based thereon.

(b) Demand Schedule. A Demand Schedule is a tabular statement which shows different quantities of a commodity demanded at different prices. Let us suppose that the demand of a household for potatoes at different prices is as shown in the following demand schedule:

DEMAND SCHEDULE	
Price per kg (₹)	Quantity demanded per (kg)
10	1
8	2
6	3
4	4

Note that quantity demanded is shown as a function of price alone.

(c) **Demand curve.** A demand curve reflects graphically the relationship between the quantity demanded of a commodity and its price. Thus graphical representation of demand at different levels of price forms demand curve. The above imaginary demand schedule has been depicted as a demand curve in Fig. 2.8.

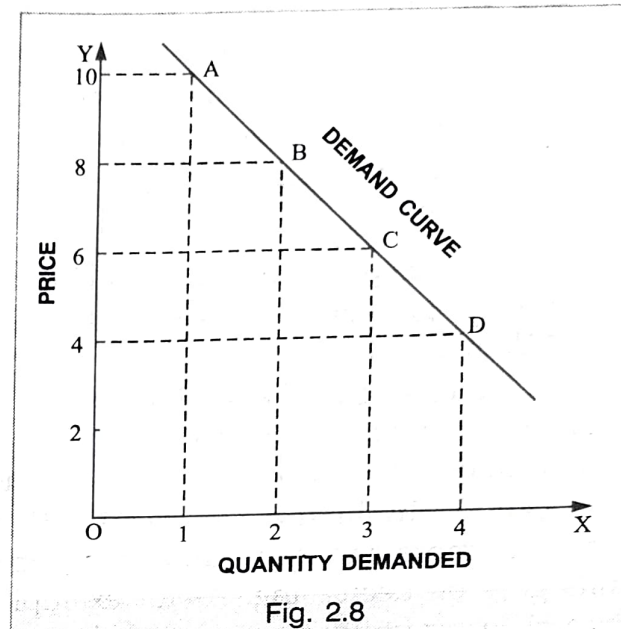


Fig. 2.8

Shape of Demand Curve (Negatively sloped). Demand Curve generally slopes downward from left to the right. It is called a negatively sloped curve which is derived from law of diminishing marginal utility. Clearly demand curve for a commodity is nothing but *marginal utility curve* of an individual for that commodity.

(d) **Assumptions or other things being equal.** The assumptions of law of demand refer to the conditions under which law of demand operates. The law is valid only when *other things remain constant* (unchanged) which means factors other than the price should not change. Thus, it is assumed that (i) price of related goods, (ii) income of the consumer and (iii) tastes and preferences of the consumer etc. should remain constant. These are called assumptions of the law of demand.

(e) **Exceptions to the law of demand.** Exceptions refer to situations when law of demand does not operate. Following are three such exceptions.

1. **Inferior goods or Giffen goods.** In case of certain inferior goods (say, jowar, bajra) when their prices fall, their demand may not rise because consumers divert their extra purchasing power (caused by fall in price) to purchase of superior goods (say, wheat, rice). As a result, demand for such inferior goods whose price has fallen, also falls. Such inferior goods are called Giffen goods because this fact was analysed first of all by Sir Robert Giffen. Mind, *Giffen goods are a special category of inferior goods whose price effect is positive (i.e., when price falls demand also falls)*. Between two effects of price change (i.e., income and substitution effect), the negative income effect is so strong that it outweighs the positive substitution effect with the result that with a fall in price of the commodity, its quantity demanded also falls. Mind, inferior goods are those goods whose income effect is negative.

2. **Status symbol goods.** This type of goods are purchased not because of their intrinsic value but because of status or prestige value. The same jewellery when sold at low price sells poorly but offered at five times the price, sells quite well. Similarly, demand for colour